



BAG MAKERS, INC.

FINANCIAL STATEMENTS AND INDEPENDENT ACCOUNTANT'S REVIEW REPORT

For the Years Ended December 31, 2023 and 2022

The background of the lower half of the page features a grayscale photograph of a modern building's facade, characterized by a complex grid of lines and geometric shapes. Overlaid on this image are several large, semi-transparent, light gray geometric shapes, including triangles and polygons, creating a layered, architectural effect.

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BAG MAKERS, INC.
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INDEPENDENT ACCOUNTANT'S REVIEW REPORT

To the Shareholders
Bag Makers, Inc.
Union, Illinois

We have reviewed the accompanying financial statements of Bag Makers, Inc. (the Company), which comprise the balance sheets as of December 31, 2023 and 2022, and the related statements of operations, retained earnings, and cash flows for the years then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error.

Accountant's Responsibility

Our responsibility is to conduct the review engagements in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

We are required to be independent of the Company and to meet our ethical responsibilities, in accordance with the relevant ethical requirements to our review.

Accountant's Conclusion

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

Supplementary Information

The accompanying schedules of cost of goods sold and selling, general, and administrative expenses are presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from, and relates directly to, the underlying accounting and other records used to prepare the financial statements. The supplementary information has been subjected to the review procedures applied in our review of the basic financial statements. We are not aware of any material modifications that should be made to the supplementary information. We have not audited the supplementary information and do not express an opinion on such information.

Sikich CPA LLC

Naperville, Illinois
June 4, 2024

FINANCIAL STATEMENTS

BAG MAKERS, INC.**BALANCE SHEETS**

December 31, 2023 and 2022

	2023	2022
ASSETS		
CURRENT ASSETS		
Cash and cash equivalents	\$ 1,933,800	\$ 144,735
Accounts receivable (net of allowance for credit losses of \$75,000 for 2023 and 2022)	3,104,172	3,510,290
Inventories	10,824,831	13,331,037
Inventory in transit	1,658,288	2,020,809
Prepaid expenses	354,428	410,010
Total current assets	17,875,519	19,416,881
PROPERTY AND EQUIPMENT		
Machinery and equipment	12,191,346	10,374,785
Furniture and fixtures	588,224	588,224
Office equipment	2,235,932	2,035,376
Leasehold improvements	1,878,411	1,798,167
Subtotal	16,893,913	14,796,552
Less accumulated depreciation and amortization	(13,210,025)	(12,452,164)
Net property and equipment	3,683,888	2,344,388
OTHER ASSETS		
Operating lease right-of-use asset	3,397,619	4,499,496
Investment in captive insurance company	36,000	36,000
Workers' compensation insurance collateral deposits	252,861	252,861
Total other assets	3,686,480	4,788,357
TOTAL ASSETS	\$ 25,245,887	\$ 26,549,626

(This statement is continued on the following page.)

BAG MAKERS, INC.**BALANCE SHEETS (Continued)**

December 31, 2023 and 2022

	2023	2022
LIABILITIES AND SHAREHOLDERS' EQUITY		
CURRENT LIABILITIES		
Accounts payable	\$ 2,229,864	\$ 2,899,546
Line of credit	-	400,993
Payroll, vacation, and related liabilities	922,084	890,269
Contract liabilities	676,714	640,102
Note payable, shareholder	1,529,381	1,616,954
Operating lease liability	1,117,069	1,101,878
Other current liabilities	157,189	293,774
Total current liabilities	6,632,301	7,843,516
LONG-TERM LIABILITIES		
Operating lease liability, net of current portion	2,280,550	3,397,618
Total long-term liabilities	2,280,550	3,397,618
SHAREHOLDERS' EQUITY		
Common stock (no par value, 1,000 shares authorized, 100 shares issued and outstanding)	1,000	1,000
Retained earnings	16,332,036	15,307,492
Total shareholders' equity	16,333,036	15,308,492
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	\$ 25,245,887	\$ 26,549,626

See accompanying notes to financial statements.

BAG MAKERS, INC.**STATEMENTS OF OPERATIONS**

For the Years Ended December 31, 2023 and 2022

	<u>2023</u>	<u>2022</u>
REVENUES		
Merchandise and design sales	\$ 59,541,975	\$ 60,150,132
Shipping revenue	3,494,946	3,808,692
Less customer rebates	(1,340,348)	(1,334,195)
Less returns and allowances	<u>(266,398)</u>	<u>(254,284)</u>
Net revenues	61,430,175	62,370,345
COST OF GOODS SOLD	<u>44,719,368</u>	<u>46,668,684</u>
Gross profit	16,710,807	15,701,661
SELLING, GENERAL, AND ADMINISTRATIVE EXPENSES	<u>14,497,678</u>	<u>13,000,963</u>
Income from operations	<u>2,213,129</u>	<u>2,700,698</u>
OTHER INCOME (EXPENSE)		
Interest income	25,832	1,168
Interest expense	(22,239)	(46,334)
Other income (expense), net	-	7,368
State replacement taxes	<u>(27,178)</u>	<u>(36,487)</u>
Total other income (expense), net	<u>(23,585)</u>	<u>(74,285)</u>
NET INCOME	<u>\$ 2,189,544</u>	<u>\$ 2,626,413</u>

See accompanying notes to financial statements.

BAG MAKERS, INC.

STATEMENTS OF RETAINED EARNINGS

For the Years Ended December 31, 2023 and 2022

BALANCE, DECEMBER 31, 2021	\$ 12,826,079
Net income	2,626,413
Shareholders' distributions	<u>(145,000)</u>
BALANCE, DECEMBER 31, 2022	15,307,492
Net income	2,189,544
Shareholders' distributions	<u>(1,165,000)</u>
BALANCE, DECEMBER 31, 2023	<u>\$ 16,332,036</u>

See accompanying notes to financial statements.

BAG MAKERS, INC.**STATEMENTS OF CASH FLOWS**

For the Years Ended December 31, 2023 and 2022

	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Net income	\$ 2,189,544	\$ 2,626,413
Adjustments to reconcile net income to net cash from operating activities		
Credit (recoveries) losses	(7,143)	7,999
Depreciation and amortization	757,860	854,748
(Increase) decrease in		
Accounts receivable	413,261	(291,784)
Inventories	2,506,206	(6,315,619)
Inventory in transit	362,521	2,945,140
Prepaid expenses	55,582	(42,366)
Income tax receivable	-	8,075
Other assets	-	30,314
Increase (decrease) in		
Accounts payable	(669,682)	(1,220,909)
Accrued liabilities	(68,157)	76,089
Total adjustments	3,350,448	(3,948,313)
Net cash from operating activities	5,539,992	(1,321,900)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(2,097,361)	(781,943)
Net cash from investing activities	(2,097,361)	(781,943)
CASH FLOWS FROM FINANCING ACTIVITIES		
Advances on line of credit	6,527,487	5,280,329
Repayments on line of credit	(6,928,480)	(4,879,336)
Repayments on note payable, shareholder	(87,573)	(205,009)
Repayment of the Paycheck Protection Program (PPP) loan	-	(1,762,861)
Distributions to shareholders	(1,165,000)	(145,000)
Net cash from financing activities	(1,653,566)	(1,711,877)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	1,789,065	(3,815,720)
CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR	144,735	3,960,455
CASH AND CASH EQUIVALENTS, END OF YEAR	\$ 1,933,800	\$ 144,735
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Cash paid during the year for		
Interest paid	\$ 22,239	\$ 46,334
State taxes paid	\$ 68,886	\$ 15,715
Operating right-of-use assets obtained in exchange for lease liabilities	\$ -	\$ 5,586,390

See accompanying notes to financial statements.

BAG MAKERS, INC.

NOTES TO FINANCIAL STATEMENTS

December 31, 2023 and 2022

1. DESCRIPTION OF BUSINESS

Bag Makers, Inc. (the Company), is a leading supplier in the promotional products industry offering imprinted paper, plastic, nonwoven polypropylene, nonwoven PET, cotton/jute, and polyester bags. The methods used to imprint its products are flexographic (ink), hot stamp (foil), screen, ColorVista (full color), Sparkle (hot press decoration) imprint, sublimation, digital full-color, Dynamic Color (full color), Chromatic (full color), and Brilliance (heat transfer). Products are sold to customers in various industries for promotional advertising including trade shows and conventions throughout the United States.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Presentation

The Company prepares its financial statements using the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America (USGAAP).

Use of Estimates

The preparation of financial statements in conformity with USGAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents

The Company considers all highly liquid debt instruments purchased with an original maturity of three months or less to be cash equivalents.

Accounts Receivable and Allowance for Credit Losses

Accounts receivable are customer obligations due under normal trade terms, which are typically due in 30 to 60 days. Accounts that are outstanding longer than the payment terms are considered past due. The Company performs credit evaluations of its customers' financial condition prior to establishing credit. Management reviews accounts receivable on a periodic basis to determine if any receivables will potentially be uncollectible. After all attempts to collect the receivable have failed, the receivable is written-off against the allowance. If recoveries are made from any accounts previously written off, they will be an offset to credit loss expense in the year of recovery.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Accounts Receivable and Allowance for Credit Losses (Continued)

Management estimates expected credit losses primarily by using an aging methodology and establishes customer-specific reserves for higher risk trade customers. The allowance is based on a combination of specific customer circumstances, credit and market conditions, reasonable and supportable forecasts of future economic conditions and the history of write-offs and collections. Based on information available, the Company believes its allowance for credit losses is adequate. However, actual write-offs may exceed the recorded allowance.

Revenue Recognition

The Company provides printed bags, specializing in nonwoven polypropylene, nonwoven PET, paper, plastic, polyester, and cotton/jute, as well as ribbon, bows, and tissue. The Company offers a wide variety of creative bag styles and numerous versatile imprint methods to meet customer needs. The Company sells to various customers and the payment terms and conditions vary between customer contracts. Revenue is measured based on the consideration specified in a contract with a customer. The Company recognizes revenue when goods are transferred and invoiced to a customer. The Company believes that methods used provide a faithful depiction of the transfer of control of its products and services.

For contracts without variable consideration, payment is typically due at the point in time when control of the products are transferred to the customer either upon shipment or delivery, depending on delivery terms, typically FOB shipping point. Therefore, a contract liability may arise if the customer pays in advance for the products.

The amount of revenue recognized related to the cash received on settlement date is limited to an amount that will not result in a significant reversal of revenue in future periods when the amount of variable consideration is determined. The Company considers its historical experience in meeting contract specifications and quoted material values on the date of delivery to estimate the amount of variable consideration to which it will be entitled and limits that amount if relevant historical information is not available or circumstances otherwise involve significant uncertainty. Generally, the Company's contracts with customers do not contain any significant variable consideration.

There are no significant judgments made by management in the recognition of revenue except variable consideration. Various economic factors could affect the recognition of revenues and cash flows, including the demand for services and the availability human resources.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Contract Balances

The timing of revenue recognition, billings and cash collections results in billed accounts receivable and customer advances and deposits (contract liabilities) on the balance sheets. Amounts are billed in accordance with agreed-upon shipment of products and acceptance by the customer.

The Company may request advances or deposits from customers before revenue is recognized, resulting in contract liabilities. Presale deposits represent the amount of money received for goods and services not yet provided. These deposits are liquidated when revenue is recognized.

For contracts that would include variable consideration, payment is due as outlined in the contracts. Provisions for any discounts to customers or customer rebates are accounted for as reductions in revenue in the same periods revenues are recorded. The Company provides certain customers rebate programs based on purchase activity as defined by each agreement. Amounts are paid or remitted through credit memos on a periodic basis.

These contract liabilities are released as the performance obligations are satisfied. As of December 31, 2023 and 2022, the contract liabilities totaled \$676,714 and \$640,102, respectively, which represents unearned revenue on the accompanying balance sheets.

	December 31, 2023	December 31, 2022	January 1, 2022
Accounts receivable, net	\$ 3,104,172	\$ 3,510,290	\$ 3,226,505
Contract liabilities - customer advances and deposits	191,683	185,670	485,574
Contract liabilities - customer rebates	485,031	454,432	392,377

Shipping and Handling

Shipping revenue in the amount of \$3,494,946 and \$3,808,692 is included in revenue in the statements of operations for the years ended December 31, 2023 and 2022, respectively.

Costs incurred to ship product to customers in the amount of \$2,184,172 and \$2,293,546 is included in cost of goods sold in the statements of operations for the years ended December 31, 2023 and 2022, respectively.

Inventories

Inventories consist of raw materials and finished goods and are valued at the lower of cost or net realizable value, cost being determined on the first-in/first-out (FIFO) method.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Property and Equipment

Property and equipment are recorded at cost. Leasehold improvements are amortized over the shorter of the useful life of the asset or the remaining lease term. Depreciation and amortization expense is computed using both accelerated and straight-line methods over the following estimated useful lives:

	<u>Years</u>
Machinery and equipment	5-10
Furniture and fixtures	5-7
Office equipment	3-5
Leasehold improvements	7-39

Depreciation and amortization expense was \$757,860 and \$854,748 for the years ended December 31, 2023 and 2022, respectively. Repairs and maintenance costs are expensed as incurred.

Advertising Costs

Advertising costs are expensed as incurred or at the time the advertisement takes place. Advertising expense was \$285,250 and \$364,729 for the years ended December 31, 2023 and 2022, respectively.

Investments

As of January 1, 2019, the Company adopted the provisions of the Financial Accounting Standards Board (FASB) Accounting Standards Update (ASU) No. 2016-01, *Recognition and Measurement of Financial Assets and Financial Liabilities*. This standard requires equity investments (except those accounted for under the equity method of accounting or those that result in consolidation of the investee) to be measured at fair value with changes in fair value recognized in net income. For this investment, there are no quoted market prices and a reasonable estimate of fair value could not be made without incurring excessive costs. Accordingly, it was not practical to estimate the fair value of the investment. This investment is held at cost minus impairment. There was no impairment, both annually and cumulative, recorded against this investment. Any distributions received from the captive insurance company, other than any return of capital, are recorded in net income.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Variable Interest Entity

The Company has elected to apply alternative accounting and disclosures, which allows an entity to not to apply variable interest entity (VIE) guidance to a legal entity if (a) the reporting entity and the legal entity are under common control, (b) the reporting entity and the legal entity are not under common control of a public business entity, (c) the legal entity under common control is not a public business entity, and (d) the reporting entity does not directly or indirectly have a controlling financial interest in the legal entity. Under this alternative, a private company is not required to evaluate or apply the VIE guidance and as such, the VIE entities are not consolidated in the accompanying financial statements.

Income Taxes

The Company, with the consent of its stockholders, has elected to be an S corporation under the Internal Revenue Code (IRC). Therefore, the stockholders are taxed individually on the Company's taxable earnings. No provision or liability for federal income taxes has been included in these financial statements. The Company, however, is responsible for Illinois replacement taxes.

The Company has evaluated its tax positions for all open tax years. Currently, the tax years open and subject to examination by the Internal Revenue Service are the 2020, 2021 and 2022 tax years.

Leases

The Company determines whether an arrangement is a lease at the inception of the arrangement based on the terms and conditions in the contract. A contract contains a lease if there is an identified asset and the Company has the right to control the asset. Operating lease right-of-use (ROU) assets are included in other assets on the balance sheets. Operating lease liabilities are included in current liabilities and long-term liabilities on the balance sheets. As an accounting policy election, the Company chose to not apply the standard to short-term leases (term of 12 months or less) from the balance sheet.

ROU assets represent the Company's right to use an underlying asset for the lease term and lease liabilities represent the Company's obligation to make lease payments arising from the lease. Operating lease ROU assets and liabilities are recognized at the commencement date or adoption date based on the present value of lease payments over the remaining lease term. Although the Company's lease is with a related party, the information required to determine the rate implicit in the lease is not readily determinable.

The Company uses the risk-free rate at the commencement date in determining the present value of lease payments. Leases with an initial term of 12 months or less are not recorded on the balance sheets, and lease expense is recognized on a straight-line basis over the lease term.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Leases (Continued)

The Company has certain lease agreements with lease and non-lease components, which are accounted for as a single lease component for all asset classes. Variable lease expenses are not presented as part of the initial ROU asset or lease liability, and are expensed as incurred.

Recent Accounting Pronouncement

In June 2016, the Financial Accounting Standards Board (FASB) issued guidance (FASB ASC 326) which significantly changed how entities will measure credit losses for most financial assets and certain other instruments that are not measured at fair value through earnings. The most significant change in this standard is a shift from the incurred loss model to the expected loss model. Under the standard, disclosures are required to provide users of the financial statements with useful information in analyzing an entity's exposure to credit risk and the measurement of credit losses. Financial assets held by the company that are subject to the guidance in FASB ASC 326 were trade accounts receivable.

The Company adopted the standard effective January 1, 2023. The impact of the adoption was not considered material to the financial statements and primarily resulted in new/enhanced disclosures only.

3. INVENTORIES

Inventories consist of the following at December 31, 2023 and 2022:

	2023	2022
Raw material	\$ 10,808,981	\$ 13,316,333
Finished goods	15,850	14,704
TOTAL	<u>\$ 10,824,831</u>	<u>\$ 13,331,037</u>

The Company also has \$1,658,288 and \$2,020,809 of raw material shown as inventory in-transit on the balance sheets from numerous vendors, including their related party in China, as of December 31, 2023 and 2022, respectively.

4. SHAREHOLDER NOTE PAYABLE

The Company has a note payable due to a shareholder in the amount of \$1,529,381 and \$1,616,954 at December 31, 2023 and 2022, respectively. During 2018, the shareholder advanced the Company \$1,831,072 for the purchase of certain machinery and equipment. The shareholder note payable is classified on the balance sheet as a current liability as the note is due on demand.

5. LINE OF CREDIT

The Company has a line of credit with the maximum outstanding principal balance of the lesser of \$3,000,000 or the borrowing base, as defined in the agreement. The Company maximum borrowing was \$3,000,000 at December 31, 2023. The line expires in June 30, 2024, and bears interest at SOFR (5.38% and 4.31% at December 31, 2023 and 2022, respectively), plus 2.50% per annum. At December 31, 2023, there was \$0 outstanding against this line. At December 31, 2022, there was \$400,993 outstanding against this line. The Company was in compliance with these covenants as of December 31, 2023. The credit available for borrowing at December 31, 2023 was \$3,000,000.

6. LEASES

The Company has a lease for their production facility with a commonly controlled entity that is classified as an operating lease. The Company is also responsible for insurance and maintenance pursuant to the executed agreement.

The components of lease cost for the operating lease for the year ended December 31, 2023 and 2022 is as follows:

	2023	2022
Operating lease cost	\$ 1,155,300	\$ 1,155,300
TOTAL LEASE COST	\$ 1,155,300	\$ 1,155,300

Supplemental cash flow information related to leases is included below.

Cash paid for amounts included in the measurement of the lease liability for the years ended December 31, 2023 and 2022:

	2023	2022
Operating cash flows for the operating lease	\$ 1,155,300	\$ 1,155,300

The following table summarizes the lease-related asset and liability recorded in the balance sheet at December 31, 2023 and 2022:

BAG MAKERS, INC.
NOTES TO FINANCIAL STATEMENTS (Continued)

6. LEASES (Continued)

	2023	2022
Operating lease		
Operating lease right-of-use asset	\$ 3,397,619	\$ 4,499,496
Current operating lease liability	\$ 1,117,069	\$ 1,101,878
Noncurrent operating lease liability	2,280,550	3,397,618
TOTAL OPERATING LEASE LIABILITY	\$ 3,397,619	\$ 4,499,496
Weighted-average remaining lease term (years)		
Operating lease		3.0
Weighted-average discount rate		
Operating lease		1.37%

The following table provides the maturities of the lease liability at December 31, 2023:

<u>Year Ending</u>	<u>Operating Leases</u>
2024	\$ 1,155,300
2025	1,155,300
2026	1,155,300
Total future undiscounted lease payments	3,465,900
Less interest	(68,281)
PRESENT VALUE OF LEASE LIABILITY	\$ 3,397,619

The unamortized balance of the related party leasehold improvements at December 31, 2023 was \$594,651. The net book value of leasehold improvements that are a result of common controlled lease arrangement and have a remaining useful life of 15-28 years, with a remaining lease term of three years.

7. CONCENTRATIONS OF RISK

The Company maintains its cash balances at financial institutions under multiple accounts. Accounts are insured by the Federal Deposit Insurance Corporation up to the specific limit. The balances of these accounts exceeded federally insured limits by approximately \$574,000 and \$52,000 for the years ended December 31, 2023 and 2022, respectively. Management believes that the Company is not exposed to any significant risk concerning its cash balances.

7. CONCENTRATIONS OF RISK (Continued)

Approximately 21% of the Company's sales were with one major customer in the years ended December 31, 2023 and 2022. This customer represented approximately 5% of the accounts receivable balance at December 31, 2023 and 2022.

The Company purchases a significant amount of its inventory from related parties located in China as described in Note 11.

8. COMMITMENTS

The Company has entered into a contract expiring December 31, 2024, whereby the Company has agreed to purchase all photopolymer printing plate materials from a vendor. In exchange, the vendor has agreed to supply the Company with a thermal processor and provide proper collection and disposition of all photopolymer developer rolls used by the Company. The agreement requires that the Company purchase approximately 8,946 square feet of photopolymer material on an annual basis or the vendor can terminate the agreement and remove the thermal processor. The cost per square inch of photopolymer plates is defined in the agreement and contains rebate provisions if the Company meets certain purchase levels on an annual basis. The Company incurred \$319,290 and \$323,560 of expense related to this agreement for the years ended December 31, 2023 and 2022, respectively. These amounts are included in cost of goods sold.

9. EMPLOYEE BENEFITS

The Company maintains a 401(k) plan for all eligible employees. The employees of the Company may participate in the plan upon meeting age and length of service requirements. The Company matches a portion of the employees' contributions. The matching contributions were \$298,031 and \$315,567 for the years ended December 31, 2023 and 2022, respectively.

10. INVESTMENT IN CAPTIVE INSURANCE

The Company participates in a captive insurance plan for workers' compensation insurance. To participate in the captive insurance plan, the Company has an equity investment of \$36,000 with Summit Insurance Ltd., Cayman Islands, a related party through common ownership. This investment is carried at cost. The captive insurance plan enters into reinsurance contracts with other insurance companies to provide policies to the stockholders. The Company has a maximum exposure in any one plan year based on an actuarial formula per the captive insurance plan.

The captive insurance plan requires the Company to provide collateral deposits to support potential claims. The Company has collateral deposits paid into the captive insurance plan in the amount of \$288,861 at December 31, 2023 and 2022.

10. INVESTMENT IN CAPTIVE INSURANCE (Continued)

The board of the insurance company may issue partial or closing distributions for a portion of the premiums which exceed the cost of claims and the administration of the captive insurance plan or assess the Company additional premiums based on past experience years. During 2023, the Company received a distribution of \$97,733 and paid net assessments of \$30,666. During 2022, the Company received a distribution of \$31,854 and paid net assessments of \$8,600.

11. RELATED PARTY TRANSACTIONS

The Company purchases a substantial portion of its nonwoven polypropylene bag inventory from one company in 2023 and 2022, located in China, related through common ownership. The Company purchased approximately \$7,586,000 and \$12,500,000 from this related party in 2023 and 2022, respectively. The Company had approximately \$775,000 and \$1,020,000 owed to this entity at December 31, 2023 and 2022, respectively, included in accounts payable. Other related party transactions are discussed above in Note 4, Note 7, and Note 10.

12. DISAGGREGATION OF REVENUE

The following table disaggregates the Company's revenue based on the timing of satisfaction of performance obligations for the years ended December 31, 2023 and 2022:

	2023	2022
Performance obligations satisfied at a point in time	\$ 61,430,175	\$ 62,370,345

Disaggregated revenue for the year ended December 31, 2023 and 2022 is as follows:

<u>Revenue Streams</u>	2023	2022
Flexo	\$ 14,937,551	\$ 15,321,084
Hot stamp	7,256,311	7,127,942
Screen	22,665,505	23,163,367
Color vista	7,616,730	7,708,298
Plain bags	717,840	1,301,976
Sublimation	586,958	581,473
Digital Full Color	2,657,555	2,589,738
Sparkle	86,708	97,078
Dynamic color	859,847	618,181
Design centre	5,456,221	5,427,452
Brilliance	27,613	22,235
Chromatic	168,082	-
Discounts and rebates	(1,606,746)	(1,588,479)
TOTAL REVENUE	\$ 61,430,175	\$ 62,370,345

13. SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the balance sheet date but before financial statements are issued or are available to be issued. These events and transactions either provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing financial statements (that is, recognized subsequent events), or provide evidence about conditions that did not exist at the date of the balance sheet but arose after that date (that is, nonrecognized subsequent events).

The Company has evaluated subsequent events through June 4, 2024, which was the date that these financial statements were available for issuance and determined that there were no significant nonrecognized subsequent events through that date.

SUPPLEMENTARY INFORMATION

BAG MAKERS, INC.

SCHEDULES OF COST OF GOODS SOLD

For the Years Ended December 31, 2023 and 2022

	2023	2022
Beginning inventory and inventory in transit	\$ 15,351,846	\$ 11,981,367
Purchases	17,681,322	26,479,006
Design center	3,733,950	3,741,128
Materials and supplies	3,570,456	3,189,974
Labor and taxes	10,739,168	10,465,258
Insurance	2,194,499	1,995,832
Depreciation and amortization	504,635	638,498
Rent, utilities, and maintenance	1,242,440	1,227,271
Shipping and handling	2,184,172	2,302,196
Less ending inventory and inventory in transit	<u>(12,483,120)</u>	<u>(15,351,846)</u>
TOTAL COST OF GOODS SOLD	<u>\$ 44,719,368</u>	<u>\$ 46,668,684</u>

BAG MAKERS, INC.

**SCHEDULES OF SELLING, GENERAL,
AND ADMINISTRATIVE EXPENSES**

For the Years Ended December 31, 2023 and 2022

	2023	2022
Depreciation and amortization	\$ 253,225	\$ 216,250
Office supplies and postage	271,856	242,898
Repairs and maintenance	173,601	122,641
Advertising	285,250	364,729
Credit (recoveries) losses	(7,143)	7,999
Payroll - office	8,893,080	7,825,846
Trade show expense	427,450	361,894
Travel and entertainment	945,520	826,375
Credit card and bank fees	520,647	553,719
Insurance	510,704	472,242
Professional fees	457,420	487,765
IT systems and support	381,115	264,305
Outside services	259,704	193,156
Training and meetings	203,345	168,511
Retirement plan contributions	298,031	315,567
Lease expense	334,010	329,926
Telephone	237,931	195,399
Utilities	100,367	93,920
Discounts earned	(48,435)	(42,179)
TOTAL SELLING, GENERAL, AND ADMINISTRATIVE EXPENSES	\$ 14,497,678	\$ 13,000,963